

ECONOMICS PAPER 2
(Mock Test 30)
Question-Answer Book

Time allowed: 1 hour 30 minutes
This paper must be answered in English

INSTRUCTIONS

- (1) After the announcement of the start of the examination, you should first write your Candidate Number in the space provided on Page 1 and stick barcode labels in the spaces provided on Pages 1, 3, 5, 7, 9, 11 and 13.
- (2) This paper consists of two sections, A and B. Answer ALL questions in sections A and B.
- (3) Write your answers in the space provided in this Question-Answer Book. Do not write in the margins. Answers written in the margins will not be marked.
- (4) Supplementary answer sheets will be supplied on request. Write your candidate number, mark the question number box and stick a barcode label on each sheet, and fasten them with string INSIDE this book.
- (5) No extra time will be given to candidates for sticking on the barcode labels or filling in the question number boxes after the ‘Time is up’ announcement.

Please stick the barcode label here.

Candidate Number							
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Marker's Use Only	
Marker No.	
Question No.	Marks
1	
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Total	

Section A (30 marks)

1. The owner of a garment factory is considering which project to invest in. He has a few options and his order of preference is as follows:

First option: to expand the existing garment factory
Second option: to acquire a boutique
Third option: to acquire a fabric supplier

Explain whether the opportunity cost of expanding the existing garment factory will *necessarily* remain unchanged if

- (a) the output of the garment factory is lower than expected after expansion. (2 marks)
- (b) More local garment factories switch from imported fabric to local fabric. (3 marks)

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2. In January 2023, a ban on foreigners buying certain types of residential properties in Canada came into effect. A Canadian government official said the ban would ensure that residential properties were owned by Canadians.
- (a) Explain how the private property rights over the residential properties covered by the ban are weakened for the owners of these properties. (2 marks)
- (b) 'The ban will cause the price of residential properties in Canada to fall.' Explain whether this statement is a positive statement or normative statement. (2 marks)

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3. The feeding of feral pigeons (野鴿) in some parts of Hong Kong leads to congregations of the birds. Some experts have warned the public not to touch the droppings of feral pigeons to avoid exposure to harmful germs. Currently, dirtying public places by feeding feral pigeons and other wild birds is punishable by a fixed penalty of \$1,500.
- (a) Explain, in terms of externality, how the feeding of feral pigeons may result in inefficiency. (3 marks)
- (b) Suggest and explain **ONE** measure for the government to alleviate such a problem of inefficiency. (2 marks)

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4. The following table shows the input-output relationship of a firm.

Labour (units)	Machines (units)	Average product of labour (units)
1	8	10
2	8	11
3	8	13
4	8	15
5	8	16

State the law of diminishing marginal returns and explain whether the above data illustrate the law of diminishing marginal returns. (6 marks)

5. Suppose some taxi associations apply to the government to adjust taxi fares.

Existing taxi fare	Suggested taxi fare
First 2 kilometres: \$27	First 2 kilometres: \$30
Every subsequent 200 metres or part thereof: \$1.9	Every subsequent 200 metres or part thereof: \$1.9

Explain, using the law of demand, how the average travel distance of taxi passengers would be affected if the proposal is implemented. (4 marks)

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6. The statutory minimum wage rate of Hong Kong is raised from \$37.5 to \$40 per hour with effect from 1 May 2023.

Suppose the statutory minimum wage rate is effective both before and after the adjustment. With the aid of a diagram, explain under what condition an increase in the minimum wage rate would increase the total wage income of employed workers. (6 marks)

END OF SECTION A

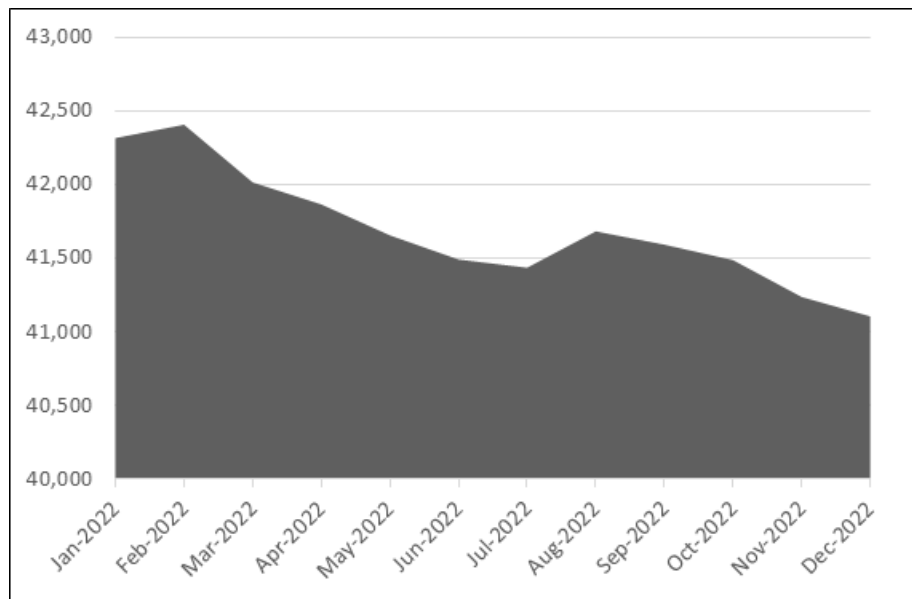
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Section B (40 marks)

7. In Hong Kong, people can buy and sell properties with the assistance of estate agents. The chart below shows the change in the number of estate agent's licences held by individuals in Hong Kong:

Figure 1



- (a) Explain which type of production estate agents engage in. (2 marks)
- (b) Many estate agency companies pay their estate agents a basic salary plus commission. Explain **ONE** advantage of this wage payment method over a fixed monthly salary from the viewpoint of the estate agency companies. (2 marks)
- (c) Give **ONE** demand-side factor to explain the change in the number of estate agent's licences held by individuals in Hong Kong in Figure 1. (2 marks)
- (d) Some estate agency companies suggest that the government waive the application fees for estate agents to obtain licenses. Explain how this would affect the mobility of labour. (3 marks)

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8. During the Lunar New Year period, some restaurants are closed while some restaurants remain open.

- (a) Give **ONE** example of variable cost incurred in restaurants that remain open during Lunar New Year. (1 mark)
- (b) Explain how the closure of some restaurants during the Lunar New Year period would affect the price elasticity of demand for restaurant services. (2 marks)
- (c) Some restaurants that remain open raise their menu prices during the Lunar New Year period. Explain which basic economic problem this arrangement is related to. (2 marks)
- (d) With the aid of a diagram, explain how the quantity transacted of restaurant services provided by the restaurants that remain open during the Lunar New Year period would change. (4 marks)

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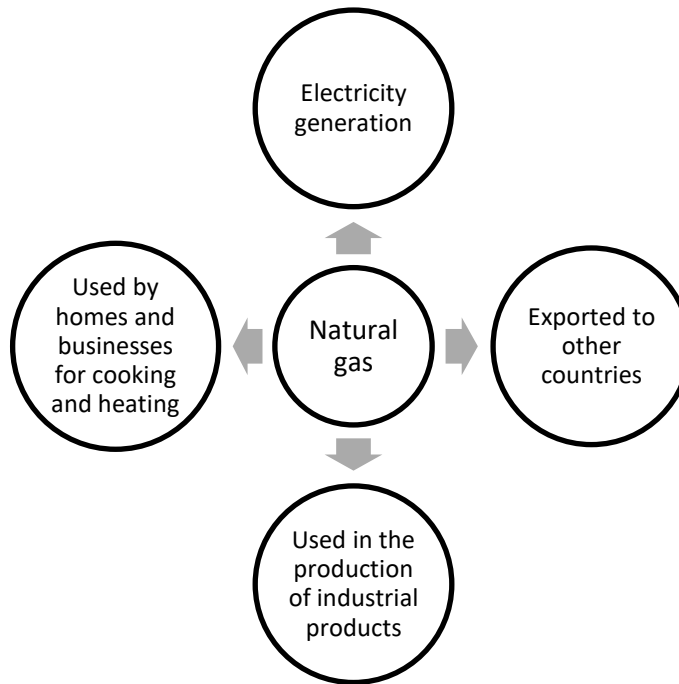
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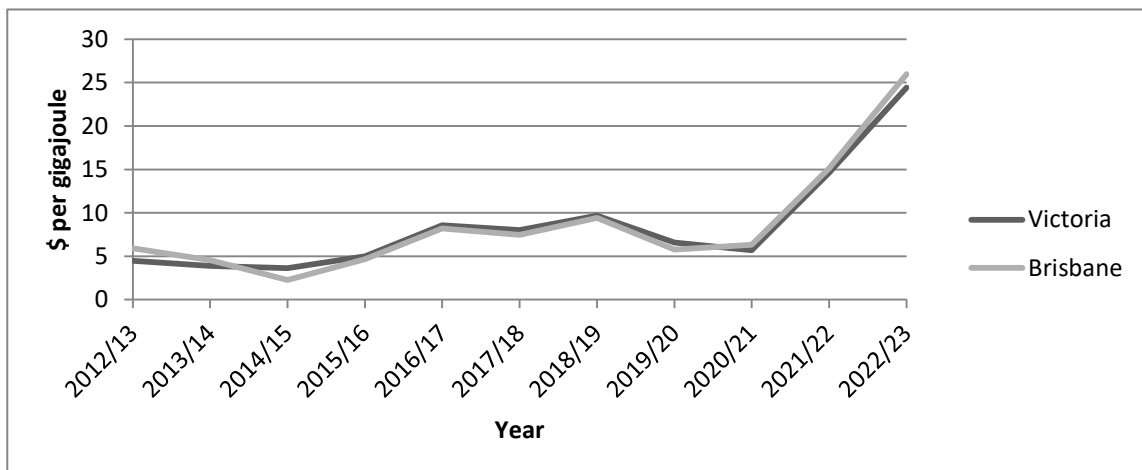
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9. The price of Australian natural gas has soared since 2021.

Source A: Main uses of natural gas produced in Australia



Source B: Wholesale prices for natural gas in two different parts of Australia



2022/23 data is current as of January 2023.
(Source: Australian Energy Regulator)

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Source C: A news excerpt about methods of electricity generation in Australia

Australia generates electricity from both non-renewable energy sources (e.g. fossil fuels such as natural gas, petroleum and coal) and renewable energy sources (e.g. hydroelectricity, wind power and solar energy). To produce an equal amount of energy, burning natural gas for energy results in lower carbon emissions than burning petroleum and coal.

(Source: various newspapers)

Source D: Some views on the Australian natural gas market

 An Australian government official	I am in favor of the government capping the domestic wholesale price of natural gas at \$12 per gigajoule, as this can ensure Australians can get natural gas at a reasonable price.
 A news commentator	To ensure domestic buyers have enough natural gas, the Australian government should limit the amount of natural gas exported.
 The owner of an Australian natural gas manufacturer	If the export of natural gas is restricted, I will sell natural gas to various domestic buyers.

- (a) Refer to Source A. Illustrate, with **ONE** example, under what condition natural gas produced in Australia would be considered a producer good. (1 mark)
- (b) Refer to Source B. Suggest **TWO** possible reasons to explain why there is a difference in the wholesale price of natural gas in different parts of Australia. (4 marks)
- (c) Refer to Sources A and B. With the aid of a diagram, explain how the change in the price of natural gas in 2021/22 would affect the producer surplus of industrial product manufacturers. (5 marks)
(For simplicity, assume the supply and demand curves of natural gas shift in a parallel manner.)

For part (d), candidates are required to present their answer in essay form. Criteria for marking will include the use of sources and economic theories, relevant content, logical presentation and clarity of expression.

- (d) With reference to the above sources and your own knowledge in Economics, compare the effects of imposing a price ceiling on Australian natural gas and imposing quantity restrictions on Australian natural gas exported on the following:
- exporters of Australian natural gas
 - domestic buyers of Australian natural gas
 - carbon emissions in Australia

(12 marks)

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END OF PAPER

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